European Commission - Press release

Commission approves Safran's acquisition of part of Collins Aerospace's actuation business, subject to conditions

Brussels, 4 April 2025

The European Commission has approved, under the EU Merger Regulation, the proposed acquisition of part of the aerospace actuation business of **Collins Aerospace** ('the Target') by **Safran** USA Inc. ('Safran'), controlled by Safran S.A., a leading French aerospace company. The approval is conditional upon full compliance with the commitments offered by Safran.

The Commission's investigation

Safran's and the Target's businesses are largely complementary.

However, the Commission's investigation showed that the transaction, as initially notified, would have reduced competition in the markets for the **supply of trimmable horizontal stabiliser actuator systems ('THSA')**, by combining two of the main suppliers of THSA systems. THSA systems are mostly used in civil aircraft, and their role is to adjust the horizontal stabiliser wing located in the tail of an aircraft. This ensures a fuel-efficient, stable manoeuvring of the aircraft.

In a market characterised by significant barriers to entry, long development cycles and long supply contracts, the Commission found that, after the merger, there would not be enough alternative competitors to exert sufficient competitive pressure on the merged entity. This would have likely led to **higher prices for** the supply of THSA systems to aircraft manufacturers.

The Commission also investigated the impact of the transaction in the markets for the supply of other actuation products, such as primary and secondary flight control actuators, or pilot controls and flight control computers (i.e., products used in different civil and military aircraft, including fighter jets and helicopters), as well as in the markets for the supply of valves for space launchers. It found that the transaction did not raise competition concerns in relation to these markets, as there will continue to be sufficient alternative suppliers available in those markets after the merger.

The Commission cooperated closely in its investigation with the Competition and Markets Authority of the UK and the Department of Justice of the US, who are also reviewing the transaction in parallel.

The proposed remedies

To address the Commission's competition concerns, **Safran offered to divest the entirety of its North American THSA business**, which includes sites in Canada and in the US, as well as assets in Mexico.

These commitments **fully address the competition concerns** identified by the Commission, by fully removing the overlap between the parties' THSA activities. Through the transaction, Safran will also expand its footprint in the aerospace sector and acquire a wider portfolio of products to supply aircraft manufacturers in the civil and defence sectors.

Following the positive feedback received during the market test, the Commission concluded that the transaction, as modified by the commitments, **would no longer raise competition concerns**.

The decision is conditional upon full compliance with the commitments. An independent trustee will monitor their implementation, under the supervision of the Commission.

The Commission notes that, on 20 December 2024, Safran entered into an agreement with Woodward Inc. of the US for the purchase of Safran's THSA business. The current decision does not include an assessment of Woodward as a suitable purchaser of the divested business. This assessment will take place in a separate buyer approval process.

Companies and products

Safran S.A., headquartered in France, is active mainly in three areas: (i) aerospace propulsion; (ii) aircraft equipment, defence, and aerospace systems; and (iii) aircraft interiors. Safran supplies engines, systems, and equipment for civil and military fixed and rotary-wing aircraft. It also provides aftermarket support.

The Target is part of Collins Aerospace's actuation business and operates mostly in Europe. Collins Aerospace, a business unit of RTX Corporation, headquartered in the US, provides advanced aerospace and defence products and aftermarket service solutions.

For More Information

The transaction was notified to the Commission on 14 February 2025.

The Commission has the duty to assess mergers and acquisitions involving companies with a turnover above certain thresholds (see Article 1 of the EU Merger Regulation) and to prevent concentrations that would significantly impede effective competition in the European Economic Area or any substantial part of it.

The vast majority of notified mergers do not pose competition problems and are cleared after a routine review. From the moment a transaction is notified, the Commission generally has a total of 25 working days to decide whether to grant approval (Phase I) or to start an in-depth investigation (Phase II). If commitments are proposed in Phase I, the Commission has 10 additional working days, bringing the total duration of a Phase I case to 35 working days, such as in this case.

More information will be available on the Commission's competition website, in the public case register under the case number M.11253.

IP/25/960

Quote(s):

"Safran and Collins are two leading suppliers of actuation systems, key equipment for safe and fuel-efficient flights. Today's decision will allow Safran to widen its portfolio to supply global civil and defence aircraft manufacturers. At the same time, Safran's divestment ensures that customers continue benefitting from competitive prices and innovative products."
Teresa Ribera, Executive Vice-President for Clean, Just and Competitive Transition - 04/04/2025

Press contacts:

Lea ZUBER (+32 2 29 56298)
Sara SIMONINI (+32 2 29 83367)

General public inquiries: Europe Direct by phone 00 800 67 89 10 11 or by email